

Multiple Choice (10 marks)

1. Steve King buys dress slacks on sale at \$33.15 for two pairs, the sales tax is 5.5%. How much does he pay for four pairs of slacks?
 - (a) \$68.40
 - (b) \$74.10
 - (c) \$71.85
 - (d) \$67.00
 - (e) \$72.00
2. John's-Rent-A-Truck purchased a van for 4,500. *The truck is expected to last 100,000 miles, and then have a value of 500.* What is the cost of depreciation per mile?
 - (a) \$0.045 per mile
 - (b) \$0.025 per mile
 - (c) \$0.08 per mile
 - (d) \$0.01 per mile
 - (e) \$0.07 per mile
3. Types of non-random samples include:
 - (a) Random and quota samples.
 - (b) Cluster and systematic samples.
 - (c) Stratified and random samples.
 - (d) Random and systematic samples.
 - (e) Random and cluster samples.
4. _____ is a key driving force shaping the current and future state of business ethics, in particular regarding _____, _____ and _____ related issues.
 - (a) Globalisation, Technological, Financial, Accountability
 - (b) Globalisation, Economic, Legal, Accountability
 - (c) Privatisation, Technological, Financial, Accountability
 - (d) Privatisation, Cultural, Legal, Accountability
 - (e) Nationalisation, Cultural, Environmental, Accountability
5. A tax of 800 is paid on a property with an assessed value of 20,000. If the tax rate is increased 1%. what will the new tax cost be?

- (a) \$1,000
- (b) \$1,200
- (c) \$880
- (d) \$1,160
- (e) \$960

True / False (10 marks)

Answer True or False

6. True or False: The percent of markdown from the original price of 2.25 to the sale price of 2.00 is 10%.
7. True or False: An interest rate of 2% will yield 12 on a principal of 1,200 over a period of 90 days.
8. True or False: Mr. Preston's car had a total depreciation of 3,500, leading to an average yearly depreciation of 350.
9. True or False: A 40% markup on the cost of 18.75 would result in a selling price of 25.00.
10. True or False: The elasticity value of the demand function for oPads is 0.0, indicating perfectly inelastic demand at the given price level.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze the impact of different compounding frequencies on the interest earned by Paul Reilly on a \$5,000 deposit at 4% interest over 3 years. Which method maximizes his returns, and why?
12. Discuss the concept of the balance sheet, focusing on how it represents the difference between assets and liabilities and its implications for a business's financial health.

End of Paper